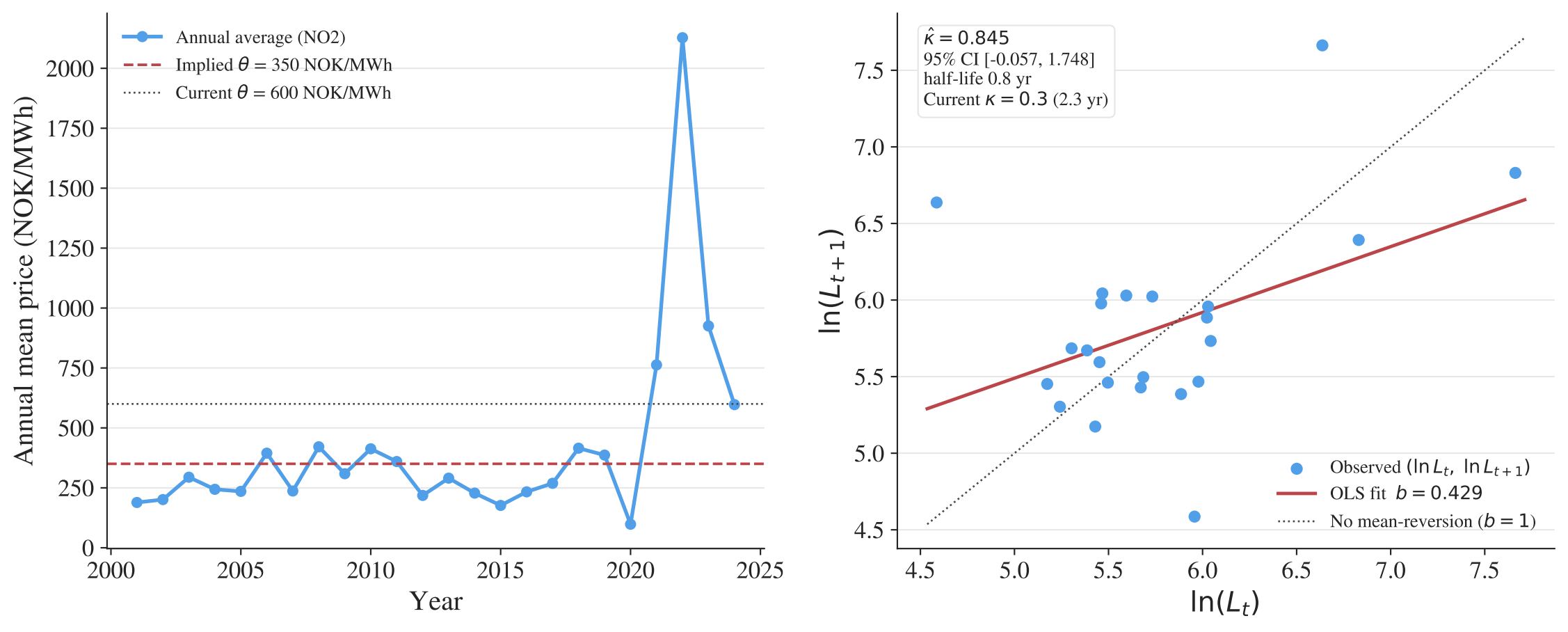
Annual average (NO2)
Implied θ = 350 NOK/MWh
Current θ = 600 NOK/MWh
Annual mean price (NOK/MWh)
Year
0
250
500
750
1000
1250
1500
1750
2000
2000
2005
2010
2015
2020
2025
κ̂ = 0.845
95% CI [-0.057, 1.748]
half-life 0.8 yr
Current κ = 0.3 (2.3 yr)
Observed (ln L_t, ln L_t+1)
OLS fit b = 0.429
No mean-reversion (b = 1)
ln(L_t+1)
ln(L_t)
4.5
5.0
5.5
6.0
6.5
7.0
7.5